Credit memo: United Rentals, Inc.

Fiscal year ending 2025-12-31 · generated 2026-11-04T22:41:26Z · writer template

ANALYST REVIEW REQUIRED — decision support only; not a rating, not a probability of default, not a lending decision.

Executive view

United Rentals, Inc. is assessed for a USD 100m 5-year floating-rate bullet facility at an all-in coupon of 6.0%, to fund capital expenditure.[1–6] This memo summarises the financial profile for the fiscal year ending 2025-12-31 from SEC 10-K XBRL filings, a neural stress screen and mechanical stress tests.[7–8] It supports analyst judgement and makes no lending decision.

Business and financial profile

Revenue was USD 16,099m, up 4.9% year on year.[9–10] EBITDA, approximated as operating income plus depreciation and amortization, was USD 7,081m, a margin of 44.0%, against 45.4% a year earlier.[11–13] Gross debt stood at USD 14,229m and cash at USD 459m, for net debt of USD 13,770m.[14–16] Net debt / EBITDA was 1.94x and EBITDA / interest 9.89x.[17–18] For the credit ratios the filing figures were adjusted to total depreciation and amortization, income-statement interest expense; the appendix gives each rule.[19]

Credit strengths

Leverage is moderate, with net debt / EBITDA of 1.94x.[17] Interest is comfortably covered, with EBITDA / interest of 9.89x.[18]

Key risks

The current ratio of 0.94x is below one, so current liabilities exceed current assets.[20] Some inputs were derived or approximated (5 data warnings); see the evidence appendix.[21]

Risk model

The neural stress screen puts the chance that next year's accounts show financial stress at 1.8%, in the low screening band.[22–23] The largest contributions came from operating cash flow to assets (lowering the score) and company size (lowering the score).[24–25] On held-out years the model reached a precision-recall AUC of 0.805, against 0.825 for an XGBoost benchmark.[26–27] The screen is an indicator of accounting stress, not of default, and is one input to analyst judgement.

Proposed facility and stress cases

After the facility, gross debt rises to USD 14,329m and net debt / EBITDA moves to 1.96x, with EBITDA / interest at 9.81x.[28–30] In the downside case (EBITDA -20%, rates +200 bp) net debt / EBITDA reaches 2.45x and EBITDA / interest falls to 7.82x.[31–33] In the severe case (EBITDA -35%, rates +400 bp) net debt / EBITDA reaches 3.01x and EBITDA / interest 6.34x.[34–36] In the analyst's own case (EBITDA -10%, rates +100 bp) net debt / EBITDA is 2.18x and EBITDA / interest 8.81x.[37–39] Against a maximum net debt / EBITDA of 3.50x, headroom is 1.54x in the base case and 1.05x in the downside.[40–42] Against a minimum EBITDA / interest of 3.00x, headroom is 6.81x in the base case and 4.82x in the downside.[43–45] Proceeds spent on capex or acquisitions are assumed to add no EBITDA.

Credit considerations and diligence questions

Is a maximum net debt / EBITDA covenant of 3.50x appropriate given the downside headroom?[40] How much of the existing debt is floating-rate, and is it hedged? Does operating income include one-off items that an adjusted EBITDA would remove? Close the data gaps listed in the appendix before committee.

Assumptions (analysis snapshot 86f6033114a4)

Input	Value
Baseline (credit basis)	EBITDA USD 7,081.0m, gross debt 14,229.0m, cash 459.0m, interest 716.0m
Cash basis	unrestricted
Facility	USD 100.0m, 5-year, floating at 6.00%, repayment 0.0m a year
Use of proceeds	capex
Existing debt at floating rate	0.00%
Covenants	max net debt / EBITDA 3.50x; min EBITDA / interest 3.00x
Case: Base	EBITDA +0%, rates +0 bp
Case: Downside	EBITDA -20%, rates +200 bp
Case: Severe	EBITDA -35%, rates +400 bp
Case: Your case	EBITDA -10%, rates +100 bp
Snapshot	86f6033114a4 (loan engine v1.1.0, snapshot format v1)

Evidence appendix

#	Item	Value	Source
1	Borrower	United Rentals, Inc.	SEC XBRL companyfacts
2	Facility amount	USD 100m	Analyst input in the loan lab
3	Tenor	5-year	Analyst input in the loan lab
4	Structure	floating-rate bullet	Analyst input in the loan lab
5	All-in coupon	6.0%	Analyst input in the loan lab
6	Use of proceeds	capital expenditure	Analyst input in the loan lab
7	Fiscal year end	2025-12-31	SEC XBRL companyfacts
8	Data source	SEC 10-K XBRL filings	SEC XBRL companyfacts
9	Revenue (2025)	USD 16,099m	10-K XBRL Revenues, accession 0001067701-26-000007, filed 2026-01-28
10	Size of revenue change	4.9%	Formula |revenue_t / revenue_t-1 - 1| (v1.0.0)
11	EBITDA (approx.) (2025)	USD 7,081m	Formula operating_income + depreciation_amortization (v1.0.0)
12	EBITDA margin (2025)	44.0%	Formula ebitda / revenue (v1.0.0)
13	EBITDA margin (2024)	45.4%	Formula ebitda / revenue (v1.0.0)
14	Gross debt (2025)	USD 14,229m	Formula short_term_borrowings + current_maturities_ltd + long_term_debt_noncurrent (v1.0.0)
15	Cash and equivalents (2025)	USD 459m	10-K XBRL CashAndCashEquivalentsAtCarryingValue, accession 0001067701-26-000007, filed 2026-01-28
16	Net debt (2025)	USD 13,770m	Formula gross_debt - unrestricted_cash (v1.0.0)
17	Net debt / EBITDA (2025)	1.94x	Formula net_debt / ebitda (v1.0.0)
18	EBITDA / interest (2025)	9.89x	Formula ebitda / interest_expense (v1.0.0)
19	Credit-basis adjustments	total depreciation and amortization, income-statement interest expense	Data-quality checks: R6: D&A in cost of revenue 2,670.0m (CostOfGoodsAndServicesSoldDepreciationAndAmortization) + other D&A 438.0m (DepreciationAndAmortization); R7: income-statement interest expense, net of interest income (InterestIncomeExpenseNonoperatingNet); replaces cash interest paid 703.0m
20	Current ratio (2025)	0.94x	Formula current_assets / current_liabilities (v1.0.0)
21	Data-quality warnings	5	Data-quality checks

#	Item	Value	Source
22	Next-FY accounting-stress probability	1.8%	Neural stress model stress_mlp_v1; inputs as of 2026-01-28
23	Screening band	low	Neural stress model stress_mlp_v1; inputs as of 2026-01-28
24	Model driver 1	operating cash flow to assets (lowering the score)	Neural stress model stress_mlp_v1; inputs as of n/a
25	Model driver 2	company size (lowering the score)	Neural stress model stress_mlp_v1; inputs as of n/a
26	Model held-out PR-AUC	0.805	Frozen test-window evaluation (model card)
27	XGBoost benchmark PR-AUC	0.825	Frozen test-window evaluation (model card)
28	Base case gross debt	USD 14,329m	Loan engine v1.1.0, Base case
29	Base case net debt / EBITDA	1.96x	Loan engine v1.1.0, Base case
30	Base case EBITDA / interest	9.81x	Loan engine v1.1.0, Base case
31	Downside case assumptions	EBITDA -20%, rates +200 bp	Loan engine v1.1.0, Downside case
32	Downside case net debt / EBITDA	2.45x	Loan engine v1.1.0, Downside case
33	Downside case EBITDA / interest	7.82x	Loan engine v1.1.0, Downside case
34	Severe case assumptions	EBITDA -35%, rates +400 bp	Loan engine v1.1.0, Severe case
35	Severe case net debt / EBITDA	3.01x	Loan engine v1.1.0, Severe case
36	Severe case EBITDA / interest	6.34x	Loan engine v1.1.0, Severe case
37	Your case assumptions	EBITDA -10%, rates +100 bp	Loan engine v1.1.0, Your case case
38	Your case net debt / EBITDA	2.18x	Loan engine v1.1.0, Your case case
39	Your case EBITDA / interest	8.81x	Loan engine v1.1.0, Your case case
40	Covenant: maximum net debt / EBITDA	3.50x	Analyst input in the loan lab
41	Base case headroom (max net debt / EBITDA)	1.54x	Loan engine v1.1.0, Base case
42	Downside case headroom (max net debt / EBITDA)	1.05x	Loan engine v1.1.0, Downside case
43	Covenant: minimum EBITDA / interest	3.00x	Analyst input in the loan lab
44	Base case headroom (min EBITDA / interest)	6.81x	Loan engine v1.1.0, Base case
45	Downside case headroom (min EBITDA / interest)	4.82x	Loan engine v1.1.0, Downside case

Analysis snapshot 86f6033114a4 · Package SHA-256 ebabcceaa8cc7988… · memo ba8ade15afbe · 45 cited items. Numbers are inserted from deterministic engines; generated text cannot introduce figures.